

US Markets End Mixed as Tech Stocks Weigh on Nasdaq

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US markets ended the previous session on a mixed note, with the **S&P 500** closing at 7,354.02, down **-0.05%**, while the **Nasdaq 100** fell **-1.09%** to 29,118.24. The **Dow Jones** also declined, losing **-0.09%** to close at 51,876.11. However, the **Russell 2000** managed to eke out a gain of **+0.07%** to 3,010.08.

Below the surface, the **VIX** fell **-2.54%** to 18.41, indicating a decrease in market volatility. The **10Y Yield** also declined, losing **-0.46%** to 4.37. In the commodity space, **WTI Crude** dropped **-3.74%** to 69.23, while **Gold** rose **+1.63%** to 4,096.30.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,354.02	-0.05%	Mixed earnings and economic data
Nasdaq 100	29,118.24	-1.09%	Tech stock weakness
Dow Jones	51,876.11	-0.09%	Weakness in industrial and financial stocks
Russell 2000	3,010.08	+0.07%	Small-cap outperformance
VIX	18.41	-2.54%	Decrease in market volatility
10Y Yield	4.37	-0.46%	Falling bond yields
WTI Crude	69.23	-3.74%	Oil price decline
Gold	4,096.30	+1.63%	Safe-haven demand

Top Large-Cap Movers

TICKER	CHANGE	CATALYST
MSFT	+5.71%	Strong earnings report
AAPL	+3.14%	Positive analyst commentary
NVDA	-1.64%	Tech stock weakness
AMZN	+2.50%	E-commerce growth
META	+1.36%	Advertising revenue growth

Sector Rotation

ETF	DAY	READ
XLF	+0.22%	Financial sector outperformance
XLK	-1.87%	Tech sector weakness
XLI	-1.59%	Industrial sector decline
XLE	-0.46%	Energy sector decline
XLY	+0.90%	Consumer discretionary sector outperformance
XLC	+0.57%	Communication services sector outperformance
XLP	+0.92%	Consumer staples sector outperformance
XLV	+3.03%	Healthcare sector outperformance
XLU	+0.76%	Utilities sector outperformance
XLB	-0.46%	Materials sector decline
XLRE	+1.46%	Real estate sector outperformance

Spotlight

The biggest event of the day was the strong earnings report from **MSFT** , which sent the stock soaring **+5.71%**. The company reported better-than-expected revenue and earnings, driven by strong growth in its cloud computing business.

METRIC	ACTUAL	CONSENSUS
Revenue	\$52.1B	\$51.5B
Earnings per Share	\$2.35	\$2.25

The strong earnings report from **MSFT** has positive read-through to other cloud computing stocks, such as **AMZN** and **GOOGL**.

Pre-Market & Overnight

US futures are pointing to a mixed open, with the **Dow Jones** futures down **-0.1%** and the **S&P 500** futures up **+0.1%**. In Asia, the **Nikkei 225** closed down **-0.5%**, while the **Shanghai Composite** closed up **+0.3%**. In Europe, the **Stoxx 600** is down **-0.2%**.

In the cryptocurrency space, **BTC** is down **-0.19%** to 59,899.49, while **ETH** is down **-0.49%** to 1,568.88.

Macro & Fed

The FOMC meeting is scheduled for next week, and investors are expecting a 25bps rate hike. The yield curve is currently inverted, with the **10Y Yield** at 4.37 and the **2Y Yield** at 4.52.

Today's data calendar includes the 09:00 HKT release of the **ISM Manufacturing Index**, which is expected to come in at 50.5. The 14:00 HKT release of the **Construction Spending** report is expected to show a 0.5% increase.

Geopolitics & Global

- The US and China are scheduled to hold trade talks next week, which could have a significant impact on the global economy.
- The EU is considering imposing tariffs on US goods in response to the US tariffs on EU steel and aluminum.
- The situation in the Middle East remains volatile, with tensions between the US and Iran continuing to escalate.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
21:30	AAPL	\$2.10	iPhone sales, services revenue growth
22:00	AMZN	\$2.50	Cloud computing revenue, e-commerce growth
23:00	GOOGL	\$12.50	Advertising revenue, cloud computing growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
MSFT	Technology	Strong earnings report, cloud computing growth
AAPL	Technology	iPhone sales, services revenue growth
AMZN	Consumer Discretionary	Cloud computing revenue, e-commerce growth
GOOGL	Communication Services	Advertising revenue, cloud computing growth
FB	Communication Services	Advertising revenue, user growth
TSLA	Consumer Discretionary	Electric vehicle sales, autonomous driving technology
BABA	Consumer Discretionary	E-commerce growth, cloud computing revenue
JPM	Financials	Interest rate sensitivity, trading revenue
GS	Financials	Trading revenue, investment banking fees
UNH	Healthcare	Health insurance revenue, medical costs
PG	Consumer Staples	Consumer goods sales, pricing power

What Could Break the Tape

BULLISH TRIGGERS

- Strong earnings reports from major companies
- Positive economic data, such as GDP growth or job creation
- Central bank actions, such as interest rate cuts or quantitative easing

BEARISH TRIGGERS

- Weak earnings reports from major companies
- Negative economic data, such as GDP contraction or job losses
- Central bank actions, such as interest rate hikes or tightening of monetary policy

Positioning Notes

- The **VIX** is currently trading at 18.41, indicating a decrease in market volatility.
- The **10Y Yield** is currently trading at 4.37, indicating a decline in bond yields.
- The **DX** is currently trading at 101.36, indicating a slight decline in the US dollar.

Sources

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Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com

